



TOP 10 PRIVATE EQUITY DEALS IN 2022 YTD

Investee	Investor	Sector	Investment value (\$ billion)	Percentage stake
BYJU'S	Multiple investors	Education	0.8	N.A.
Swiggy.com	Multiple investors	E-commerce	0.7	N.A.
Xpressbees	Multiple investors	E-commerce	0.3	N.A.
ElasticRun	Multiple investors	E-commerce	0.3	N.A.
Jindal Poly Films	Brookfield Asset Management	Manufacturing	0.27	25%
Moglix	Multiple investors	E-commerce	0.25	N.A.
FirstCry	Multiple investors	E-commerce	0.24	N.A.
Zetwerk	Multiple investors	Start-up	0.21	N.A.
Meril group	Warburg Pincus	Pharma, healthcare and biotech	0.21	N.A.
Ola Electric Mobility	Multiple investors	Start-up	0.2	N.A.

SOURCE GRANT THORNTON ANNUAL DEALTRACKER Q1 CY2022, MEDIA REPORTS, COMPANY ANNOUNCEMENTS

HIGH LEVELS OF LIQUIDITY IN THE SYSTEM IS ALLOWING GROUPS AND COMPANIES TO GET VERY AMBITIOUS

groups. For instance, Reliance has made buyouts in areas like renewable energy, retail and fashion, while Adani, too, has made big moves in renewables, ports, FMCG and, of course, cement. Then, the Tatas acquired Air India from the government and in two years, concluded 21 deals, while the Mahindra group decided to exit loss-making SsangYong (which it had acquired in 2010), as it has been in the red for a long time, though it is yet to find a buyer.

GOING OVERSEAS? NOT REALLY

The cross-border outbound story in the past, especially in the period starting 2007 for about five years, saw frenetic levels of activity. That is not as prominent today and is one more indication of how the M&A story has changed.

Bank of America's Balakrishnan thinks the theme

continues to be played selectively by Indian companies in spaces where there are material synergies. "For example, in IT services, we worked with Wipro to acquire Capco (a deal struck last year for \$1.5 billion). However, in several other sectors, Indian groups have found significant opportunities driven by rapid growth in the Indian market and, hence, continue to play this story," he says.

Speaking of IT, C. Vijayakumar, CEO of HCL Technologies, says making a buyout overseas will today need to be "capability-based". That thinking is in line with a new set of market dynamics. In late 2018, his company acquired select IBM software products for \$1.5 billion. "Three years ago, it was all about the product business for us. Now, the task on hand is to grow it. As things stand, there is no need for that big-ticket buyout."

Ganeshan Murugaiyan, MD and Head of Corporate Coverage & Advisory at BNP Paribas, agrees with the point on capability and points towards other sectors such as pharmaceuticals and auto components. "It will be a combination of penetrating new geographies and filling specific product/capability gaps," he says. A flashback to the phase between 2005 and 2007 throws up deals like Dr. Reddy's buying Germany's Betapharm for \$560 million, or the spate of transactions that Suzlon did that were caught in the crossfire of regulation, high valuations and also an incorrect assessment of the market. The end result was high debt and a lot of time lost. Likewise, Bharti Airtel's buyout of Zain's Africa business for \$10.7 billion in 2010 was a complicated one and the price war later in the domestic market was a double whammy. "The acquisitions in the early 2000s